

## EQUITY

*The most misunderstood of all asset classes, stocks are not a lottery where some people get lucky. There is a math and science, and a way to take risk safely.*

**T**his is my favourite asset class but I don't buy shares directly. It is really important to understand the difference between investing in stocks directly and getting an equity exposure. The toughest learning is the one around equity, as it is misunderstood to be a gamble rather than a slow builder of wealth. ***Equity is a slow cook and not instant noodles.***

To understand equity, we need to understand how a business works. There are two ways by which entrepreneurs can fund their businesses – debt and equity. Imagine that your friend makes the best biryani in Delhi. But she makes it at home for her friends and family. You and others egg her on and she sets up a small home takeaway service. The biryani delivery is a runaway hit. She wants to expand the business – she wants to set up five kitchens in different parts of the city and grow the business fivefold.

Now she will have to rent the kitchen premises, hire more people and get more equipment. The cost of this expansion is Rs 30 lakhs. She can borrow the money from a bank, but you and a few more friends decide to stake her out. Four of you contribute Rs 5 lakhs each; she puts in another Rs 10 lakhs. On a pro-rata basis, each of you now owns a slice of the biryani business; she owns